

Tentative Rulings for August 5, 2026 Department PS1

**To request oral argument, you must notify Judicial Secretary
Carol Delfosse-Kidd at (760) 904-5722
and inform all other counsel no later than 4:30 p.m.**

This court follows California Rules of Court, Rule 3.1308 (a) (1) for tentative rulings (see Riverside Superior Court Local Rule 3316). Tentative Rulings for each law & motion matter are posted on the Internet by 3:00 p.m. on the court day immediately before the hearing at [Riverside Superior Court-Tentative Rulings](#). If you do not have Internet access, you may obtain the tentative ruling by telephone at (760) 904-5722.

To request oral argument, no later than 4:30 p.m. on the court day before the hearing you must (1) notify the judicial secretary for Department PS1 at (760) 904-5722 and (2) inform all other parties of the request and of their need to appear remotely, as stated below. If no request for oral argument is made by 4:30 p.m., the tentative ruling **will become the final ruling** on the matter effective the date of the hearing. **UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF THE RULING.**

COUNSEL AND SELF-REPRESENTED PARTIES ARE ENCOURAGED TO APPEAR AT ANY LAW AND MOTION DEPARTMENT TELEPHONICALLY WHEN REQUESTING ORAL ARGUMENTS.

For information and instructions on remote appearances via **ZOOM**, visit the court's website at [Riverside Superior Court-Remote Appearances](#)

You may also make a Telephonic Appearance: On the day of the hearing, call into one of the below listed phone numbers, and input the meeting number (followed by #):

- Call-in Numbers: 1-833-568-8864 (Toll Free), 1-669-254-5252,
1-669-216-1590, 1-551-285-1373 or 1-646-828-7666
- Meeting Number: **160 520 9376**

Please **MUTE** your phone until your case is called and it is your turn to speak. It is important to note that you must call fifteen (15) minutes prior to the scheduled hearing time to check in or there may be a delay in your case being heard.

Riverside Superior Court provides official court reporters for hearings on law and motion matters only for litigants who have been granted fee waivers and only upon their timely request. (See General Administrative Order No. 2021-19-1) Other parties desiring a record of the hearing must retain a reporter pro tempore.

1.

CASE #	CASE NAME	HEARING NAME
CVPS2406846	SCHERMAN VS HYATT	MOTION FOR SUMMARY JUDGMENT ON COMPLAINT OF SOPHIA SCHERMAN

Tentative Ruling: The court issued its tentative ruling on 7.27.26. No changes have been made. Hearing was continued to 8.05.26 for oral argument to be reported.

2.

CASE #	CASE NAME	HEARING NAME
CVPS2601632	KOGAN VS PELTZ	DEMURRER ON COMPLAINT OF VADIM "DAVID" KOGAN

Tentative Ruling: A general demurrer lies where the pleading does not state facts sufficient to constitute a cause of action. (C.C.P. § 430.10(e).) The court assumes the truth of all material facts which have been properly pleaded, of facts which may be inferred from those expressly pleaded, and of any material facts of which judicial notice has been requested and may be taken. (*Crowley v. Kattelman* (1994) 8 Cal.4th 666, 672.)

In ruling on a demurrer, extrinsic evidence may not be considered. (*Lane v. I.U.O.E. Stationary Engineers* (1989) 212 Cal. App. 3d 164.) In addition, a demurrer does not admit contentions, deductions or conclusions of fact or law. (*Daar v. Yellow Cab Company* (1967) 67 Cal.2d 695, 713.) Facts appearing in exhibits attached to the complaint will also be accepted as true and, if contrary allegations appear in the complaint will be given precedence. (*Del E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal.App.3d 593, 606.)

If the complaint fails to state a cause of action, the court must grant the plaintiff leave to amend if there is a reasonable possibility that the defect can be cured by amendment. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) A complaint with certain exceptions, need only contain a "statement of the facts constituting the cause of action, in ordinary and concise language" (C.C.P. § 425.10(a)(1)) and will be upheld "so long as the pleading gives notice of the issues sufficient to enable preparation of a defense." (*Okun v. Superior Court* (1981) 29 Cal.3d 442, 458.)

2nd and 3rd Causes of Action for Negligence and Negligence Per Se:

The elements of a negligence claim are: (1) legal duty owed to plaintiffs to use due care; (2) breach of duty; (3) causation; and (4) damage to plaintiff. (*County of Santa Clara v. Atlantic Richfield Co.* (2006) 137 Cal.App.4th 292, 318.)

"Negligence per se" is an evidentiary doctrine, codified at Evidence Code section 669, which creates a presumption of negligence if: (1) the defendant violated a statute, ordinance, or regulation of a public entity; (2) the violation proximately caused injury to person or property; (3) the injury resulted from an occurrence the nature of which the statute, ordinance, or regulation was designed to prevent; and (4) the person the injury to his person or property was one of the class of persons for whose protection the statute, ordinance, or regulation was adopted. (Evid. Code § 669(a).) Negligence per se is not to an independent cause of action, and does not provide a private right of action for violation of a statute. (*Quiroz v. Seventh Ave. Center* (2006) 140 Cal.App.4th 1256, 1285.) "Instead, it operates to establish a presumption of negligence for which the statute serves the subsidiary function of providing evidence of an element of a preexisting common law

cause of action.” (*Id.* at 1285-1286.) “Statutes may be borrowed in the negligence context for one of two purposes: (1) to establish a duty of care, or (2) to establish a standard of care.” (*Elsner v. Uveges* (2004) 34 Cal.4th 915, 927-928, fn. 8.)

Plaintiffs allege that Peltz Defendants owed a contractual duty of care to complete the Project in compliance with applicable statutes, rules, regulations, codes, and standards; breached their duty of care by allowing the Project to be completed by unlicensed individuals in violation of building codes; and that such breaches caused Plaintiffs to suffer economic and non-economic damages, including emotional distress. (Complaint, ¶ 57-79.)

Peltz Defendants argue that Plaintiffs are barred from asserting a negligence tort action for a breach of contract that has not resulted in violation of an independent duty. The “economic loss rule” bars “a plaintiff’s tort recovery of economic damages unless such damages are accompanied by some form of physical harm (i.e. personal injury or property damage.)” (*North American Chemical Co. v. Superior Court* (1997) 59 Cal.App.4th 764, 777.) Quite simply, the economic loss rule prevents the law of contract and the law of tort from dissolving one into the other. (*Food Safety Net Services v. Eco Safe Systems USA, Inc.* (2012) 209 Cal.App.4th 1118, 1130, citing *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979, 988.) However, the economic loss rule does not apply where the conduct amounting to a breach of contract also violates a duty independent of the contract constituting a tort. (*Erlich v. Menezes* (1999) 21 Cal.4th 543, 551; see e.g., *J’Aire Corp. v. Gregory* (1979) 24 Cal.3d 799 (negligent interference with prospective economic advantage.) Tort damages have been permitted in contract cases where a breach of duty directly causes physical injury, for breach of the covenant of good faith and fair dealing in insurance contracts, for wrongful discharge in violation of fundamental public policy, or where the contract was fraudulently induced. (*Erlich, supra*, 21 Cal.4th at 551-552 [internal citations omitted].) On the other hand, if the alleged negligence is merely improper performance under the contract, such conduct is insufficient to give rise to tort liability. (*Id.* at 550.) As currently pleaded, Plaintiffs’ allegations do not give rise to an inference that Peltz Defendants’ breaches violated a duty independent of the Contract at issue.

5th Cause of Action for Civil Penalties Under Penal Code § 496(c):

“Penal Code section 496, subdivision (a) (section 496(a)) makes receiving or buying property ‘that has been obtained in any manner constituting theft’ a criminal offense punishable by imprisonment. Section 496, subdivision (c) (section 496(c)) provides that any person ‘who has been injured by a violation of [section 496(a)] ... may bring an action for three times the amount of actual damages, if any, sustained by the plaintiff, costs of suit, and reasonable attorney’s fees.” (*Bell v. Feibush* (2013) 212 Cal.App.4th 1041, 1043 [italics omitted], citing Pen. Code § 496.)

In *Bell*, the Fourth District held that theft by false pretense, “which is the consensual but fraudulent acquisition of property from its owner,” is a violation of Penal Code § 496(a) that is subject to treble damages under § 496(c.) (*Bell, supra*, 212 Cal.App.4th at 1049 [“Section 496(a) extends liability to ‘[e]very person who buys or receives any property that has been stolen or that has been obtained *in any manner* constituting theft.’ (Italics added.) Penal Code section 484, subdivision (a) describes the acts constituting theft to include theft by false pretense, which is the consensual but fraudulent acquisition of property from its owner. (Pen. Code, §§ 484, subd. (a), 532.) [Defendant] was found liable for fraud, i.e., for the fraudulent acquisition of property (money) from its owner ([Plaintiff]).

‘Anything that could be the subject of a theft can also be property under section 496.’ [Citation.]”.)

Plaintiffs’ fifth cause of action seeks treble damages for Contractor Defendants’ “fraudulent diversion of cash distributions” for payment of their work, alleging that accepting such payments for performing unlicensed work in violation of several statutes constitutes theft. (Complaint, ¶ 93.) Accordingly, Plaintiffs’ allegations that Peltz Defendants fraudulently obtained money for performing unlicensed work is sufficient to state a cause of action for treble damages under Penal Code § 496(c).

Peltz Defendants argue that Plaintiffs’ allegation that they “wrongfully obtained possession of money and property from Plaintiff, David, through conduct that constitutes theft under California Penal Code section 496” (Complaint, ¶ 95) is an improper conclusion of law. (Demurrer, pp. 3-4.) However, Plaintiffs stated sufficient facts to support their conclusion by alleging that Contractor Defendants obtained Plaintiffs’ money by performing work on the Project without a license. (Complaint, ¶ 93.)

9th Cause of Action for Tortious Breach of Implied Covenant of Good Faith and Fair Dealing:

“The covenant of good faith and fair dealing, implied by law in every contract, exists merely to prevent one contracting party from unfairly frustrating the other party’s right to receive the benefits of the agreement actually made.” (*Guz v. Bechtel Nat. Inc.* (2000) 24 Cal.4th 317, 349.)

Peltz Defendants cite to *Foley v. Interactive Data Corp.* (1988) 47 Cal.3d 654 in support of their argument that a cause of action for tortious breach of implied covenant of good faith and fair dealing is only available in the insurance context, and may not be extended to employment contracts. (Demurrer, pp. 4-5.) However, *Foley* does not state that no such cause of action exists. Rather, *Foley* narrowly holds that tort remedies are not available for breach of the implied covenant of good faith and fair dealing in employment contracts, as “contractual remedies should remain the sole available relief for breaches of the implied covenant of good faith and fair dealing in the employment context.” (*Foley, supra*, 47 Cal.3d at 683-696.) As noted above, the covenant of good faith and fair dealing is “implied by law in every contract.” (*Guz, supra*, 24 Cal.4th at 349 [emphasis added].)

11th Cause of Action for Violations of the CLRA:

The Consumer Legal Remedies Act (Civil Code §1750 et seq.) (“CLRA”) prohibits “unfair methods of competition and unfair or deceptive acts or practices undertaken by any person in a transaction intended to result or which results in the sale or lease of goods or services to any consumer....” (*Wang v. Massey Chevrolet* (2002) 97 Cal.App.4th 856, 869 [internal quotation omitted.]) “Any consumer who suffers any damage as a result of the use or employment by a person of a method, act or practice declared to be unlawful by section 1770 may bring an action against that person to recover actual damages, injunctive relief, restitution of property, punitive damages, and any other relief the court deems proper.” (*Ibid.*)

The CLRA specifically prohibits 26 “unfair methods of competition and unfair or deceptive acts or practices” in connection with the sale or lease of consumer goods or services to a consumer. (Civ. Code § 1770(a).) A “consumer” under the CLRA is “an individual who seeks or acquires, by purchase or lease, any goods or services for personal, family, or household purposes.” (Civ. Code § 1761(d).)

Peltz Defendants argue that Plaintiffs cannot assert a cause of action under the CLRA because neither are “consumers” as defined by the statute. Specifically, the Complaint alleges that Plaintiff DNAK2, the legal title holder to the Property, is a limited liability company (“LLC”). (Complaint, ¶ 2.) Accordingly, DNAK2 is not an “individual” who qualifies as a “consumer” under the CLRA. (Civ. Code § 1761(d); see *Cooper v. Simpson Strong-Tie Company, Inc.* (N.D. Cal. 2020) 460 F.Supp.3d 894, 912 [LLC that owned a home was not a “consumer” that could assert a claim under CLRA because CLRA contemplated a “consumer” as an individual who had acquired a product for personal, family, or household purposes, all of which LLC, as a corporation, was unable to do].) In their Opposition, Plaintiffs concede that an LLC cannot assert a CLRA claim. (Opp., p. 9.)

Peltz Defendants further contend that Plaintiffs cannot assert a CLRA claim because the Complaint alleges they used the Property “for rental purposes with Airbnb,” and not for personal, family, or household purposes.” (Complaint, ¶ 17.) In opposition, Plaintiffs argue that under *Protect Our Neighborhoods v. City of Palm Springs* (2002) 73 Cal.App.5th 667, 679, the short-term rental of a single-family home does not convert the property into a commercial use. (Opp. 9-10.) However, *Protect Our Neighborhoods* discussed only whether the short-term rental of a home constitutes “commercial use” in the context of a zoning ordinance, and made no mention of a “consumer” or the CLRA. (*Protect Our Neighborhoods*, *supra*, 73 Cal.App.5th at 678-681.) Here, the facts do not support that Plaintiffs’ use of the Property was for “personal, family, or household purposes” to allow Plaintiff Kogan, an individual, to assert a claim against Defendants under the CLRA.

Demurrer as to the 2nd, 3rd and 11th Causes of Action SUSTAINED with leave to amend. Plaintiffs to file amended complaint within 20 days.

Demurrer as to the 5th and 9th Causes of Action OVERRULED.

Case Management Conference continued from 9.10.26 to 10.22.26.

3.

CASE #	CASE NAME	HEARING NAME
CVPS2601632	KOGAN VS PELTZ	MOTION TO STRIKE COMPLAINT OF VADIM “DAVID” KOGAN BY DEFENDANT BEAU JAMES PELTZ, INDIVIDUALLY AND DOING BUSINESS AS CLEARLY THE BEST POOLS SERVICE

Tentative Ruling: “Any party, within the time allowed to respond to a pleading may serve and file a notice of motion to strike [a pleading] or any part thereof[.]” (C.C.P. § 435(b)(1).)

The Court may, upon a motion, or at any time in its discretion, and upon terms it deems proper, “[s]trike out any irrelevant, false, or improper matter inserted in any pleading.” (C.C.P. § 436(a).) “The grounds for a motion to strike shall appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice.” (C.C.P. § 437(a).)

A motion to strike is the proper vehicle to attack a claim for punitive damages where facts alleged do not rise to the level of fraud, malice or oppression. (*Truman v. Turning*

Point of Central Calif., Inc. (2010) 191 Cal.App.4th 53, 63.) To support a demand for punitive damages under Civ. Code § 3294, a plaintiff must plead and prove facts demonstrating malice, oppression or fraud as defined in Civ. Code § 3294(c).

Peltz Defendants argues that although Plaintiffs' prayer seeks punitive damages, Plaintiffs fail to specify which causes of action justify such damages. Peltz Defendants further contend that not all of the causes of action allege sufficient facts to justify a request for punitive damages. However, Peltz Defendants omit Plaintiffs' seventh, tenth, and twelfth causes of action for fraud-related claims from their list of claims that allegedly do not support a prayer for punitive damages (Opp., pp. 4-5), and have not demurred to these fraud-related causes of action. Because Plaintiffs' seventh, tenth, and twelfth causes of action for fraud-related claims survive, Plaintiffs' prayer for punitive damages based on fraud survives as well.

Peltz Defendants seek to strike the portion of the fourth through fourteenth causes of action that incorporates preceding allegations by reference. However, on a motion to strike, as with a demurrer, the court reads a complaint as a whole, and accepts the facts alleged as true. (*Clauson v. Superior Court* (1998) 67 Cal.App.4th 1253, 1255.) Accordingly, reading the Complaint as a whole, the Court interprets the fourth through fourteenth causes of action to include the actions and omissions detailed in the preceding paragraphs.

As to the 2nd and 3rd Causes of Action, the Peltz Defendants' Motion to Strike Punitive Damages is MOOT.

As to the first paragraph of the 4th through 14th Causes of Action, Peltz Defendants' Motion to Strike Punitive Damages is DENIED.

4.

CASE #	CASE NAME	HEARING NAME
CVPS2601632	KOGAN VS PELTZ	MOTION TO STRIKE COMPLAINT OF VADIM "DAVID" KOGAN BY DEFENDANT AMERICAN CONTRACTORS INDEMNITY COMPANY

Tentative Ruling: "Any party, within the time allowed to respond to a pleading may serve and file a notice of motion to strike [a pleading] or any part thereof[.]" (C.C.P. § 435(b)(1).)

The Court may, upon a motion, or at any time in its discretion, and upon terms it deems proper, "[s]trike out any irrelevant, false, or improper matter inserted in any pleading." (C.C.P. § 436(a).) "The grounds for a motion to strike shall appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice." (C.C.P. § 437(a).)

The Complaint's prayer seeks the following against all Defendants, including ACIC: (1) general, special, and consequential damages; (2) exemplary and punitive damages; (3) disgorgement; (4) legal interest; (5) judgment on the surety bonds; (6) attorney fees; (7) costs of suit incurred; and (8) further relief as the Court deems just and proper.

ACIC argues that the Complaint alleges only two causes of action against it – the fourth cause of action for enforcement of statutory bond and the fourteenth cause of action for declaratory relief, neither of which supports Plaintiffs' prayer for damages. Specifically, Plaintiffs' fourth cause of action for enforcement of bond seeks to recover from a surety

bond from ACIC. (Complaint, ¶ 84.) ACIC contends that Plaintiffs' recovery is limited by Business and Professions Code § 7071.6(b) because the Property is not Plaintiff's personal family residence.

Business and Professions Code § 7071.6(b) provides, "Excluding the claims brought by the beneficiaries specified in subdivision (a) of Section 7071.5, the aggregate liability of a surety on claims brought against a bond required by this section shall not exceed the sum of seven thousand five hundred dollars (\$7,500). The bond proceeds in excess of seven thousand five hundred dollars (\$7,500) shall be reserved exclusively for the claims of the beneficiaries specified in subdivision (a) of Section 7071.5. However, nothing in this section shall be construed so as to prevent any beneficiary specified in subdivision (a) of Section 7071.5 from claiming or recovering the full measure of the bond required by this section." A beneficiary under § 7071.5(a) is "[a] homeowner contracting for home improvement upon the homeowner's personal family residence damaged as a result of a violation of this chapter by the licensee." (Bus. & Prof. Code § 7071.5(a).)

Here, the Complaint alleges that the Property is a "residential single-family home used for rental purposes with Airbnb." (Complaint, ¶ 17.) Plaintiffs argue that under *Protect Our Neighborhoods v. City of Palm Springs* (2002) 73 Cal.App.5th 667, 679, the short-term rental of a single-family home does not transform a property from a single family dwelling into commercial use. (Opp. 3-5.) However, *Protect Our Neighborhoods* discussed only whether the short-term rental of a home constitutes "commercial use" in the context of a zoning ordinance, and made no mention of a contractor or surety bond. (*Protect Our Neighborhoods, supra*, 73 Cal.App.5th at 678-681.) Further, on a motion to strike, as with a demurrer, the court reads the allegations of the complaint as a whole, and accepts the facts alleged as true. (*Clauson v. Superior Court* (1998) 67 Cal.App.4th 1253, 1255.) Accordingly, the allegations on the face of the Complaint indicate that the Property is not a personal family residence, and as such, Plaintiffs' recovery on the bond itself cannot exceed \$7,500.00 under Business and Professions Code § 7071.6(b).

However, this limitation is insufficient to strike Plaintiffs' prayer for "general, special, and consequential damages" altogether. Further, "[w]hen a surety decides to fight a lawsuit, it can make itself liable for the costs of that litigation in excess of the face value of its bond," including attorney fees. (*Karton v. Ari Design & Construction, Inc.* (2021) 61 Cal.App.5th 734, 751-754.)

A motion to strike is the proper vehicle to attack a claim for punitive damages where facts alleged do not rise to the level of fraud, malice or oppression. (*Truman v. Turning Point of Central Calif., Inc.* (2010) 191 Cal.App.4th 53, 63.) To support a demand for punitive damages under Civ. Code § 3294, a plaintiff must plead and prove facts demonstrating malice, oppression or fraud as defined in Civ. Code § 3294(c). Plaintiffs contend that they have pleaded fraud claims against Peltz Defendants to support their prayer for punitive damages. (Opp., pp. 7-8.) However, the Complaint does not contain any allegations to give rise to a finding of malice, oppression, or fraud against ACIC, nor do Plaintiffs assert that it does.

As for the remaining prayer for disgorgement and interest, the Complaint does not seek these remedies in the fourth or fourteenth causes of action.

ACIC seeks to strike the first paragraph of the fourth and fourteenth causes of action for incorporating preceding allegations by reference. However, on a motion to strike, as with a demurrer, the court reads a complaint as a whole, and accepts the facts alleged as true. (*Clauson v. Superior Court* (1998) 67 Cal.App.4th 1253, 1255.) Reading

the Complaint as a whole, the Court interprets the fourth and fourteenth causes of action to include the actions and omissions detailed in the preceding paragraphs.

As to Defendant ACIC's Motion to Strike punitive damages, disgorgement and interest at the legal rate from the Prayer (Paragraphs 2-4), Motion is GRANTED. Plaintiffs to file an amended complaint within 20 days.

As to Defendant ACIC's Motion to Strike general, special and consequential damages, judgment on the surety bonds, attorney fees, costs of suit incurred and further relief from the Prayer (Paragraphs 1, 5-8), Motion is DENIED.

As to the first paragraph of the 4th and 14th Causes of Action, Defendant ACIC's Motion to Strike is DENIED.